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THIRD REVIEW UNDER THE THREE-YEAR ARRANGEMENT UNDER THE EXTENDED CREDIT FACILITY, REQUESTS FOR MODIFICATION OF THE MONETARY POLICY CONSULTATION CLAUSE, WAIVER OF NONOBSERVANCE OF QUANTITATIVE PERFORMANCE CRITERION, FINANCING ASSURANCES REVIEW—DEBT SUSTAINABILITY ANALYSIS

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Prepared by the staffs of the International Monetary Fund and the World Bank.

Mozambique: Risk Rating Summary	
Joint Bank-Fund Debt Sustainability Analysis	
Risk of External debt distress:	High
Overall risk of debt distress	High
Granularity in the risk rating	Sustainable
Application of judgment	No

The debt sustainability assessment remains unchanged compared to the July 2023 DSA.[1] The overall and external public debt are assessed at high risk of distress due to some indicators remaining above sustainability thresholds for several years under the baseline, and the vulnerability of debt to downside risks during this period.[2] Public debt is assessed as sustainable in a forward-looking sense because a large share of projected future borrowing reflects the state's participation in large LNG projects, which will be repaid directly from future LNG revenues (which are expected to be significant). This updated DSA incorporates the fiscal and debt implications of an out-of-court settlement of litigation related to part of Mozambique's 2013-16 disputed debt, which was concluded in October 2023. The settlement does not have material impact on the projected timing of reaching a "moderate" risk of overall debt distress. Risks are tilted to the downside, reflecting vulnerability to natural disasters, risks of intensification of terrorist activity in the North, deepening geo-economic fragmentation, and fiscal pressures related to municipal elections which took place in October 2023 and general elections due in 2024. On the upside, assumptions underlying the DSA are conservative, as growth projections do not incorporate potential spillovers from LNG projects to the broader economy. In addition, external debt is mostly concessional, and debt contracted for LNG development will be entirely repaid from LNG revenue, once production starts.

[1] This DSA provide an update to the published full DSA accompanying the July 2023 Staff Report for the Second Review under the ECF.

[2] Similar to the July 2023 DSA, Mozambique's debt carrying capacity remains to be assessed as "weak" based on a compositor indicator value of 2.62. This assessment is based on the World Economic Outlook, October 2023 and the 2022 Country Policy and Institutional Assessment.

PUBLIC DEBT COVERAGE

1. While the coverage of public and publicly guaranteed debt is the same as presented in the July 2023 DSA, contingent liability has been updated (Text Table 1).[3] The analysis covers external and domestic obligations of the central government, including on-lending to SOEs. The authorities provide data on debt of state-owned enterprises (SOEs) and guarantees provided by the central government on debt contracted by SOEs. Most of SOE guarantees relate to the state energy company—Empresa Nacional de Hidrocarbonetos (ENH)—which is involved in LNG projects.[4] SOE domestic debt is included, while non-ENH SOE direct external debt is not included. As in the July 2023 DSA, the contingent liabilities stress test includes contingencies linked to debt contracted by municipalities, non-ENH SOE external debt, and the outstanding disputed government guarantees on commercial loans (VTB component of the Proindicus loan and MAM). On the latter, the DSA update revises the assumed contingent liability down from around 7.5 percent of GDP to 3.4 percent of GDP, due to the authorities' signed agreement with creditors holding the majority of the SOE Proindicus loan (Box 1).[5] Based on available information, contingencies associated with the debt contracted by municipalities, non-ENH SOE external debt contingencies, are estimated to be slightly above the default amount (at about 5 percent in total).[6] Accordingly, total contingent liability under the DSA update is reduced from 18.8 percent of GDP under the July 2023 DSA to 14.7 percent of GDP under this DSA update.[7]

[3] For the purposes of the DSA analysis, debt sustainability is assessed by currency, as data capturing the residency of creditors are not available.

[4] Consistent with the July 2023 DSA, ENH debt transferred to special purpose vehicles are included in the debt perimeter.

[5] Credit Suisse, which holds about 54 percent of the debt of Proindicus, has accepted a write-down to zero, reflecting settlements reached with several regulatory bodies in relation to its conduct in these loan operations. The debt settlement excludes VTB, which holds about 28 percent of the debt of Proindicus) as it is under receivership. Several commercial banks hold the remaining 18 percent of Proindicus debt.

[6] Direct external debt includes debt contracted by TMCel (telecom company), Petromoc (fuel importer), EMEM (mining company), EDM (electricity company) and BNI (Banco National de Investimento). It is not included because there is no information on future disbursements for this debt.

[7] Municipalities debt is not currently systematically collected by the authorities. Most of this debt is short-term, to address liquidity needs within the year, and municipalities are required to obtain authorization from the Minister of Finance before contracting longer-term debt.

Text Table 1. Mozambique: Public Debt Coverage and Design Stress Tests of Contingent Liability

Public Sector Coverage

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	X

Definition of Contingent Liabilities

1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt, non-guaranteed SOE debt			
		Default		Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	1.5	percent of GDP	1.5	Municipalities debt
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2	percent of GDP	4.9	Disputed sovereign guarantee arrears (3.4 ppt of GDP) and non-ENH SOE direct external debt (1.5 ppt of GDP)
4	PPP	35	percent of PPP stock	3.3	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)			14.7	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0 percent.

Source: Mozambican authorities and IMF staff calculations.

Box1. Mozambique's Debt Settlement of 2013–14 Proindicus Loan

Between 2013 and 2014, three state-owned enterprises (SOEs)—Ematum, MAM, and Proindicus—borrowed approximately $2.2 billion, about 12 percent of Mozambique's GDP, from external creditors. These loans were arranged by Credit Suisse and VTB. The government, which disputes the legality of sovereign guarantees attached to these loans, has been engaged in several complex legal disputes in the UK related to these obligations.

In an effort to strengthen governance and transparency, and settle costly litigation related to the SOE loans, the authorities reached an out-of-court agreement on part of the Proindicus debt in October 2023. The settlement covers about $522 million of the outstanding principal and entails a cash component ($46 million dollars) and issuance of domestic T-bonds (MZN 6.2 billion at 6-year maturity; equivalent to $96 million). The cash component was financed by a one-off fine collected by the government due to the cancellation of an LNG exploration project. The T-bonds issuance in 2023 was recorded in the DSA guided by the terms of the settlement and is consistent with the ceiling on domestic debt issuance under the 2023 budget law.

The authorities continue discussions with creditors on potential settlement of the outstanding hidden debt, which remains under active litigation in the UK, including MAM loan and the VTB components of the Proindicus loan.

BACKGROUND

A. Recent Debt Developments

2. The DSA update incorporates an agreement between the Mozambican authorities on part of the government-guaranteed SOE debt that has been under dispute. The July 2023 DSA treated the state guarantee of loans extended to SOEs currently under legal dispute, as a contingent liability, equivalent to 7.5 percent of GDP. In accordance with agreed methodology of the IMF-WB debt sustainability framework for low-income countries, these amounts were excluded from the baseline. The "undisclosed debts" are related to claims worth US$ 2.2 billion (principal and interest) contracted by Mozambican SOEs (Proindicus, Mozambique Asset Management (MAM) and EMATUM) between 2013 and 2014 from the British branches of investment banks Credit Suisse and VTB. As of October 2023, the Mozambican authorities have signed agreement with creditors holding about 82 percent of the total debt of Proindicus (US$986.8 million including principal and interest). The DSA update incorporates in the baseline a US$143 million settlement payment on the Proindicus debt. The agreement entails: (i) an upfront cash settlement of US$46 million, which was fully financed through exceptional budget revenue from the cancellation of an LNG exploration contract, and (ii) issuance of Treasury Bonds of MT6.2 billion (equivalent to US$96 million).[8] This settlement reduces the present value of total public debt, compared to a scenario where the disputed amount had not been settled under the agreed terms. The authorities continue discussions with creditors holding the remainder of debt related to the Proindicus loan, as well as loans related to MAM. These loans are excluded from the DSA, per the methodology applied to debt under litigation, and consistent with the approach used in the original DSA for this Fund-supported program, and included as a contingent liability of 3.4 percent of GDP.

3. Total debt-to-GDP ratio in 2022 has increased compared to the July DSA, partly due to higher domestic borrowing real exchange rate effect, and official release of revised 2022 GDP growth estimates.[9] External public debt is estimated at 74 percent of GDP at end-2022, higher compared to July DSA at 71.1 percent of GDP. Domestic debt is estimated to have risen to about 25.3 percent of GDP (compared to 24.4 percent of GDP reported in the July DSA). The share of short-term debt in total domestic debt is about 15 percent, consistent with the Medium-term Debt Strategy (¶4). Public external debt is largely concessional, owed to multilaterals and bilateral donors (July DSA, Text Tables 2 and 4). Mozambique does not have market access, and external commercial borrowing is precluded under the IMF-supported program.

[8] The terms of the T-bonds are: 6-year maturity, 2-year grace period for principal payments, interest rate is fixed interest rate in the first 2 years at 18 percent and floating interest rate starting third year at T-bills rate plus 200 basis points.

[9] The National Institute of Statistics released revised nominal GDP figures for 2011–2022 in 2023. The DSA updates the ratios based on the revised DSA Tables 1 and 2.

4. Mozambique's 2023-25 Medium-Term Debt Strategy (MTDS) aims to increase the share of external debt, mainly concessional loans, and lengthen maturities on domestic debt, while looking for domestic private sector creditors. In this regard, the authorities have signed concessional loans in 2023 to support development needs, including the World Bank's $300 million credit for the "Mozambique Access to Finance and Economic Opportunities Project" and total $150 million credit from Saudi Development Fund for health and infrastructure spending (Text Table 2). Over the medium term, external financing is projected to increase slightly, reflecting an increase in multilateral concessional financing and in bilateral creditors' lending, with the share of multilateral lending still dominant but decreasing gradually. Over the long term, Mozambique is projected to rely gradually less on external financing as LNG revenues start flowing in. Domestic debt financing over the medium- to long-term will be guided by the MTDS, which aims to lengthen maturities on domestic debt, while broadening investor base to include domestic private sector creditors.[10]

Text Table 2. Mozambique: Projected External Borrowing Program, January 1, 2023 to December 31, 2024

PPG external debt	PV of new debt 1/	
	USD million	Percent
By sources of debt financing	**333**	**100**
Concessional debt, of which 2/	**333**	**100**
Multilateral debt	171	51
Bilateral debt	162	49
Other	0	0
Non-concessional debt, of which	**0**	**0**
Semi-concessional 3/	0	0
Commercial terms 4/	0	0
By Creditor Type	**333**	**100**
Multilateral	171	51
Bilateral - Paris Club	0	0
Bilateral - Non-Paris Club	162	49
Other	0	0
Uses of debt financing	**333**	**100**
Economic Development	238	71
Infrastructure	95	29

Sources: Mozambican authorities and IMF staff estimates.
1/ Contracting and guaranteeing of new debt. The present value of debt is calculated using the terms of individual loans and applying the 5 percent program discount rate.
2/ Debt with a grant element that exceeds a minimum threshold. This minimum is typically 35 percent, but could be established at a higher level.
3/ Debt with a positive grant element which does not meet the minimum grant element.
4/ Debt without a positive grant element. For commercial debt, the present value would be defined as the nominal/face value.

5. External arrears. The authorities incurred short-term arrears on external debt service on several occasions in 2023: in June with IFAD ($0.7 million), in August with the African Development Bank (AfDB) ($1.2 million), and in September with IFAD ($0.4 million) and BADEA ($0.2 million). These arrears, which were incurred due to capacity constraints related to debt management, have been settled fully. An agreement on resolving arrears owed to Brazil was reached in 2022, but is still pending ratification by the Brazilian Parliament. The authorities continue to make best efforts to resolve pre-HIPC arrears with five countries.[11]

[10] See paragraph 9 (bullet 3) for additional details on 2024 domestic financing assumptions and capacity development needs on domestic debt management and domestic market development.

[11] Given that a representative Paris Club agreement covers the claim, this means that the pre-HIPC arrears with Angola, Bulgaria, Iraq, Libya, and Poland are deemed away under the IMF Lending Into Official Arrears policy. Agreement has been reached with Libya, with repayment expected to start as soon as Libya's Minister of Finance signs.

B. Macroeconomic Forecasts

6. The medium-term growth outlook is positive. Growth is projected to strengthen to 6 percent in 2023, compared to 7 percent at the July 2023 DSA, mostly due to LNG (Text Table 3).[12] For 2024, overall growth is projected at 5 percent, with mining growth driven by the continuing increase in (annual) LNG production at Coral South,[13] and non-mining growth accelerating amid a loosening of monetary policy and the expected restart of the LNG projects led by TotalEnergies and Exxon. Long-term non-LNG growth is estimated at 4 percent, assuming no positive spillovers from LNG to the rest of the economy, and substantially below growth rates observed prior to the "undisclosed debts" scandal. It is driven primarily by a large and growing contribution from services and a large, although shrinking, contribution from agriculture. The negative impact on growth from fiscal consolidation is expected to be compensated for by the stimulating impact of higher public sector wages and a gradual easing of monetary policy, warranted on account of well-anchored inflation expectation. Overall growth is expected to accelerate sharply to 13 percent in 2027 and 12 percent in 2028 as the first onshore project begins production. Inflation is projected to decelerate compared to July 2023 DSA, on account of global and domestic price dynamics having cooled off markedly, and second round effects.

Text Table 3. Mozambique: Selected Macroeconomic Assumptions

	2022	2023	2024	2025	2026	Long-term 1/
Primary Balance (Percent of GDP) 2/						
Current DSA	-2.2	0.8	1.1	2.1	2.9	6.8
ECF 2023 DSA	-2.1	0.5	1.0	1.8	2.0	5.5
Inflation rate (GDP Deflator, In Percent)						
Current DSA	6.4	9.5	3.0	6.5	6.1	5.6
ECF 2023 DSA	11.5	8.1	7.4	7.0	6.2	5.5
Nominal GDP (Meticals million)						
Current DSA	1,175,292.0	1,363,898.1	1,474,841.5	1,648,418.2	1,818,494.1	526,733.3
ECF 2023 DSA	1,223,162.0	1,414,448.4	1,594,268.2	1,790,440.9	1,977,284.6	5,587,891.0
Real GDP Growth (Percent)						
Current DSA	4.359842691	6.0	5.0	5.0	4.0	5.1
ECF 2023 DSA	4.2	7.0	5.0	5.0	4.0	5.0
Exports of Goods and Services (Growth)						
Current DSA	44.2	-3.8	1.4	5.0	3.1	7.7
ECF 2023 DSA	46.9	-1.4	3.8	5.3	3.8	7.3
Current Account Balance (Percent of GDP)						
Current DSA	-34.7	-11.0	-37.6	-42.0	-43.2	-7.3
ECF 2023 DSA	-32.9	-15.5	-38.9	-43.2	-44.9	-8.5

1/ Average 2028-40

2/ The primary balance presented here is composed of the central government primary deficit augmented by LNG revenues accruing directly to repay ENH debt.

Source: Mozambican authorities and IMF staff projections.

7. External sector dynamics are dominated by the LNG projects development and international reserves are projected to rebound over the medium term. Mozambique's external position in 2022 was substantially weaker than the level implied by fundamentals and desirable policies.[14] The non-megaproject current account in 2023 is projected to be narrower than the July driven by weaker goods imports reflecting tight financial conditions, while projections of exports of goods and services have improved somewhat compared the July DSA buoyed by extractives exports. FDI inflows in 2023 have been revised up from the July DSA, reflecting recent quarterly data. The medium-term current account is expected to show a large total deficit linked to the self-financed

[12] The National Institute of Statistics released revised nominal GDP figures for 2011-2022 in 2023 resulting in revising growth estimates in 2023.

[13] As Coral South reached full capacity in the second half of 2023, total production for 2023 is estimated below full (annual) capacity. Therefore, even though the ramp-up in production is complete and daily production is not expected to increase any further, total production in 2024 is expected to exceed total production in 2023, with a positive contribution to growth in 2024.

[14] IMF 2023, Staff Report for the Second Review under the ECF, Annex III.

LNG investment projects, while the non-megaproject current account deficits are projected to improve over the medium term as structural reforms to promote diversification bear fruit.

8. External financing gaps are estimated at 1.2 percent of GDP on average over the period 2023-24. The financing needs arise because of budget outlays. Compared to the July 2023 DSA, spending pressures—mostly wage bill-related in 2022—have worsened the primary balance (Text Table 3). The authorities have used SDR 162.9 million of the SDR allocation of SDR 227.2 million as a complement to the IMF-supported program in 2022 and an additional SDR 5.4 million has been used in 2023. The three-year arrangement under the Extended Credit Facility of 150 percent quota (SDR 340.8 million) supports the authorities' reform program, addresses near-term BOP needs and provides budget support in the pandemic recovery phase.

9. Given Mozambique's high debt and tight financing conditions, staff supports continued fiscal consolidation in 2024. Compared to the second review, projected interest payments in 2024 are now higher, and budget support grants lower, than previously expected. The 2024 budget is consistent with a domestic primary balance (excluding LNG revenue)[15] of 2.4 percent of GDP, or primary balance (after grants) of 0.9 percent of GDP. Thus, a cumulative improvement of the primary balance (after grants) of 3.3 percent of GDP is projected by 2024 compared to 2022 (Text Table 3). This implies that the reduction in the domestic primary balance (excluding LNG revenue) envisaged under the 2022-25 ECF (of about 2½ percent of GDP) will be achieved a year earlier than planned at program inception. This faster fiscal consolidation is warranted to maintain macroeconomic stability amid debt vulnerabilities and tight financing conditions. This is mainly driven by domestic revenue mobilization and wage bill control:

- **Enhanced domestic revenue mobilization efforts—via VAT base broadening and measures related to personal income tax, non-tax, and tax administration—are expected to yield about 0.4 percent of GDP.** While receipts from indirect taxes appear on track in 2023, VAT revenue has significantly underperformed, reflecting reduced VAT rate from 17 to 16 percent, extension of VAT exemptions, and IT constraints limiting electronic VAT collections. To enhance domestic revenue mobilization, the authorities are letting temporary VAT exemptions (on oils, soap, sugar) lapse and are broadening the VAT base by including alcoholic beverages, and some mineral products effective January 2024 (expected yield of 0.05 percent of GDP). Additional tax on rental income from personal property (expected yield 0.2 percent of GDP), and higher corporate income tax collection due to inclusion of a pipeline company in the tax net. In addition, the Ministerial Diploma (Regulation) on mining activities will ensure the reference price of mineral products is in line with international prices; this will help to gradually increase tax revenue over the medium-term. Non-tax revenue measures include increasing the concession rate on profit making

[15] Domestic primary balance under the program is defined per the Technical Memorandum of Understanding (TMU, pages 74–75) as the difference between total government non-liquified natural gas (LNG) revenue (excluding grants) and domestic primary expenditure (total government expenditure minus interest payments minus externally financed capital expenditure).

SOEs[16] (expected yield of 0.1 percent GDP) and permanent earmarked revenue from National Mining Institute (0.08 percent of GDP). To improve tax compliance, the authorities have extended the implementation of the new e-tax system to all taxes and tax administration offices (Structural Benchmark (SB); end-December 2023).

- **Expenditure restraint, including continued wage bill reform. Domestic primary expenditure is projected at 22.6 percent of GDP in 2024, 0.6 percentage point lower than in 2023.** The public sector wage bill is forecast to decline by about 1 percent of GDP compared to 2023, on account of measures including the attrition rule, wage freeze, and an ongoing audit and proof of life of all public civil servants (SB; proposed revised test date to end-June 2024). To guide medium-term wage bill rationalization, the authorities have adopted an action plan to reduce the wage bill-to-GDP ratio to 10 percent by 2028 (SB; end-December 2023). Expenditure on goods and services will remain at 3.3 percent of GDP and domestic capital spending at 2.4 percent of GDP, while external capital spending is projected to decline by about 1 percent of GDP compared to 2023.

- **Growing debt burden.** Interest payments from public debt are projected to increase to 4.2 percent of GDP in 2024 (from 3.3 percent of GDP in 2023).[17] Amid declining external financing and weak domestic debt management strategies, the authorities have been induced to rely on expensive short-term domestic financing to a larger extent than previously projected.[18,19] Domestic debt continued increasing during 2023 while interest rates were significantly higher than in previous years.

10. Risks to the outlook are tilted to the downside. Previously identified risks, notably extreme climate events and a deterioration in the security situation in the North, are still pertinent. Despite recent military success, a deterioration of the security situation in the North cannot be ruled out, which would have significant humanitarian costs and could lead to further delays or abandonment of the LNG megaprojects led by Totalenergies and ExxonMobil. Geo-economic fragmentation and its consequences could impact growth. The external funding squeeze affecting the region, combined with tight domestic financing opportunities, could hamper growth as resources for critical development are reduced. The authorities' reform commitment could come under pressure as general elections due in October 2024 draw closer. In addition, there are potential

[16] Hidroeléctrica de Cahora Bassa (HCB) and Companhia do Pipeline (CPMZ) are incorporated in CIT baseline projections.

[17] Given tight monetary policy, the DSA revised up domestic interest rates on short-term Treasury bills from 13.3 (15.3) to 17.8 (16.3) percent in 2023 (2024).

[18] The issuance of MT6.2 billion as part of total domestic debt limits on T-bonds of MT36.6 billion in 2023 is guided by the 2023 approved budget law. The amount is associated with the out-of-court settlement of Proindicus obligations signed in October 2023, thereby not included in the July 2023 DSA (see paragraph 1).

[19] IMF and WB have provided technical assistance on strengthening debt management, including developing MTDS and annual borrowing plan (IMF); supporting the Debt Management unit to enhance the primary debt market and develop the secondary debt market, with a focus on stronger auction systems and more transparent communication with participants (WB).

contingent liability risks related to SOEs and the settlement of the remainder of the disputed government guarantees on commercial loans (Proindicus' loan owed to VTB and MAM).

11. The debt sustainability framework's realism tools reflect the baseline assumptions (Figures 3 and 4). Projected variations in debt indicators are very similar to those observed over the past five year for external debt, but total public debt is unexpectedly higher, as reported at the July 2023 DSA. Growth projections in 2023 are much higher than those suggested by the alternative fiscal-growth multiplier analysis due to the expected effects of LNG. The adjustment in the primary balance in the baseline scenario is high compared with adjustments carried out in a sample of comparable LICs that requested Fund support since 1990, and higher than presented at the July 2023 DSA (at 4.5 ppt of GDP 3-year primary balance adjustment compared to 4 ppt of GDP in July 2023 DSA). This is due to the immediate policy adjustment and continued fiscal correction measures to address wage bill overruns. Compared to the previous DSA, changes in private investment remain unchanged and are driven almost exclusively by changes to LNG-related imports, and the further postponement of the Area 1 project.

COUNTRY CLASSIFICATION

12. As in the last DSA, debt carrying capacity is assessed as weak. Countries' debt carrying capacity is measured through a composite index, equal to 2.62 for Mozambique (Text Table 4),[20] similar to the previous DSA. The analysis that underpins the indicator considers the imports related to the large scale of LNG megaprojects under development (amounting to 300 percent of GDP). If only non-megaproject imports were considered in the calculation of the composite index, the debt carrying capacity would be assessed as medium, and relevant debt distress thresholds revised upward.

Text Table 4. Mozambique: Composite Indicator Score

Debt Carrying Capacity and Thresholds

Country	Mozambique
Country Code	688
Debt Carrying Capacity	Weak

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintage
Weak	Weak 2.62	Weak 2.61	Weak 2.72

Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.143	1.21	46%
Real growth rate (in percent)	2.719	4.654	0.13	5%
Import coverage of reserves (in percent)	4.052	30.874	1.25	48%
Import coverage of reserves^2 (in percent)	-3.990	9.532	-0.38	-15%
Remittances (in percent)	2.022	1.120	0.02	1%
World economic growth (in percent)	13.520	2.898	0.39	15%
CI Score			2.62	100%
CI rating			Weak	

Reference: Thresholds by Classiciation

EXTERNAL debt burden thresholds	Weak	Medium	Strong
PV of debt in % of			
Exports	140	180	240
GDP	30	40	55
Debt service in % of			
Exports	10	15	21
Revenue	14	18	23

TOTAL public debt benchmark	Weak
PV of total public debt in percent of GDP	35

Source: IMF staff calculations.

[20] Debt carrying capacity is assessed to be weak with an index strictly below 2.69 for two years in a row, medium with an index between 2.69 and 3.05, and strong with an index strictly above 3.05.

DEBT SUSTAINABILITY

A. External Debt Sustainability Analysis

13. Three external debt sustainability indicators are above sustainability thresholds in a significant number of years (Table 1 and Figure 1). The assessment is mostly unchanged from the July 2023. All indicators except the debt service to revenue fall significantly below the sustainability threshold at the latest by 2029. The PV of the debt to GDP ratio reaches the sustainability thresholds in the same year as in the July 2023 DSA. The relatively large residual is partially due to projected price evolutions and ENH debt accumulation. The debt service solvency indicators reach a peak in 2028, when ENH debt starts to be repaid—directly from LNG revenue—and the Eurobond is assumed to be repaid as well, within 4 years.[21]

- The PV of external public debt in terms of GDP is projected to be around 43 percent at end-2023 and to remain above the sustainability threshold until 2027; as in the July 2023 DSA it is projected to reach the threshold by 2028.
- The PV of external public debt in terms of exports is below the 140 percent threshold in 2023 and improves rapidly after 2026 as LNG exports pick up. A large increase in exports, which started in 2021 with commodity price increases and rising demand for intermediate goods, is confirmed since the last DSA, where the indicator was already below the threshold, but at a slightly higher value.
- External public debt service in terms of exports is below the threshold from 2023 to 2026, and again in 2029, subsequently remaining below the threshold. This path is equivalent to the previous DSA, although the peak in 2028 is higher.
- External public debt service in terms of revenue breaches the threshold in 2027–2029, and is projected to reach the threshold in 2030 similar to the July 2023 DSA.

14. External public debt ratios are most sensitive to changes in the primary balance, export shocks, and other flows (Figure 1, Table 3). All shocks lead to threshold breaches for all debt indicators, except for the PV of debt to exports where the breaches are only due to the primary balance, export, other flows, combined shocks and contingent liabilities. The stress tests illustrate that a nominal export growth (in U.S. dollars) one standard deviation below baseline in 2024 and 2025 would increase the PV of external public debt-to-GDP by 28 percentage points (to 71 percent) in 2025 and 2026 compared to 2023.[22] Similarly, the PV of external public debt-to-exports would be pushed above the sustainability threshold to 296 percent in 2026 (compared to staying at

[21] ENH debt contracts are structured such that ENH debt repayments will be taken directly from LNG revenues once they start (for details, see IMF (2023) Republic of Mozambique, Second Review Debt Sustainability Analysis, Box 1). As such, the contracts to some extent hedge against a mismatch of debt repayment and revenue streams.

[22] This stress test does not reflect a plausible scenario as it implies that there would be no export revenue from LNG, despite still including all the debt created by the projects. However, should the project not go ahead for reasons outside of the control of the country, Mozambique would not be liable for the latter according to the LNG contracts.

116 percent under the baseline). The export shock pushes the debt service to export ratio significantly above the sustainability threshold from 2025 to 2035. Similarly, a combined shock to current transfers-to-GDP and FDI-to-GDP ratios keeps the PV of debt to GDP above the threshold until 2029 and raises the PV of debt to exports above the threshold in 2025 and 2026. As in the previous DSA, a 30 percent nominal depreciation in 2023 would lead to an increase in the debt service-to-revenue ratio by an average > 3 percentage points over the projection period compared to the baseline.[23]

15. The realization of contingent liabilities or a natural disaster would significantly worsen the outlook, yet similar to the July 2023 DSA. In this case, the PV of debt to GDP would be higher, and its return below sustainability threshold by 2030. Despite Mozambique's contingent liability being reduced to 4.9 percent of GDP (compared to 9 percent of GDP under the July DSA), the realization of the contingent liabilities would not result in the PV of external public debt in terms of exports breaching the threshold in 2026. It would bring the external public debt service in terms of exports above the sustainability threshold in 2027-2028, while the external public debt service in terms of revenue would be over the sustainability threshold between 2027-2030. Similarly, a large disaster shock with an impact of 10 percent of GDP would worsen debt sustainability, pushing back the return of the PV of external debt to GDP by 2030; two years later compared to the baseline. A commodity price shock would not have a significant impact.

B. Public Sector Debt Sustainability Analysis

16. Under the baseline, the indicator of public debt sustainability reaches the sustainability threshold by 2029. Total PPG debt is estimated at 99.3 percent of GDP at end-2022, with external debt accounting for about 74 percent of GDP.[24] With the additional domestic debt issuance under the Proindicus settlement, the PV of debt-to-GDP is projected to reach below the 35 percent of GDP benchmark in 2029, a year earlier than projected in the July 2023 DSA (Table 2 and Figure 2).

17. Public debt sustainability indicators are highly sensitive to other flows, the primary balance, and exports (Table 4). A shock to the primary balance, which would also correspond to the baseline projection minus one standard deviation in 2024 and 2025, would lead the PV of debt-to-GDP to reach a peak of 89 percent by 2025 (compared to 69 percent under the baseline). Similarly, a shock to current transfers-to-GDP and FDI-to-GDP ratios during the same years would lead the PV of debt-to-GDP to reach 84 percent in 2025, while a shock to exports would bring the ratio to 89 percent in 2025. Under realization of contingent liabilities and a commodity price shock, the PV of debt-to-GDP would cross the threshold one year later than in the baseline or 2031.

[23] Vulnerability to exchange rate movements is an expected outcome for a commodity exporter like Mozambique.

[24] In the medium term, the residual is mostly due to ENH debt accumulation.

RISK RATING AND VULNERABILITIES

18. Mozambique's debt remains at high risk of distress, yet sustainable in a forward-looking sense taking into account prospective LNG revenue and risk management of related debt. This assessment is unchanged from the DSA at program approval. The rating of "high risk of debt distress" is due to several indicators remaining above sustainability thresholds for several years, and to the high vulnerability of debt to downside risks, including: (i) possible realization of contingent liabilities, (ii) unfavorable developments in the trade balance or exchange rate shocks, and (iii) difficulty in sustaining fiscal discipline especially in a context of climate shocks and upcoming elections. The path of the sustainability indicators is downward sloping and reaches the sustainability thresholds over the projection period. In addition, the following mitigating factors underpin the assessment:

- Future borrowing and government guarantees largely reflect state participation in LNG developments. The State's guarantee is gradually included in PPG debt (up to 15 percent of GDP) over the period, since it is only activated in tandem with project finance disbursements—the current exposure amounts to 0.2 percent GDP and will rise only as projects resume.

- The signed agreement with Proindicus creditors (Credit Suisse and local banks, excluding VTB) and ongoing negotiations over resolving the contingent liability associated with the disputed government guaranteed loans to MAM will improve the present value of debt-to-GDP ratio and reduce lengthy and costly litigation process, and instill market confidence, as the authorities proactively address the settlement of the loan.

- Debt carrying capacity is likely to be stronger than signaled by the CI rating because international reserves do not need to cover imports related to megaprojects (which are fully funded through Special Investment Vehicles (SIVs) outside the country). The breaches of two external debt sustainability thresholds are, hence, judged to be narrower and less persistent than suggested by the standard methodology. Having a debt carrying capacity assessed as medium would imply that both the PV of external debt to GDP and the PV of public debt to GDP would reach the sustainability threshold by 2027 and 2028, respectively. The other three indicators for external debt sustainability would be below sustainability thresholds for most of the projection period (except for one year—2028—for the debt service-to-revenue ratio).

- The assessment is based on a relatively conservative baseline for growth, which does not include positive spillovers from LNG to the wider economy.

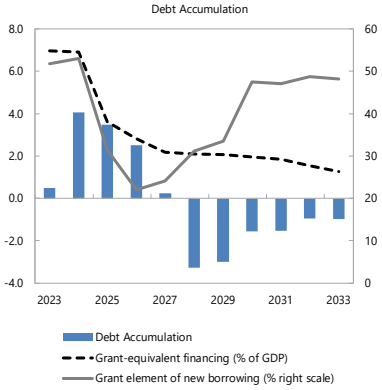
- Finally, besides the debt linked to LNG projects, external debt is mostly composed of concessional multilateral and bilateral debt, and a Eurobond, product of restructuring a debt linked to the "undisclosed debts".

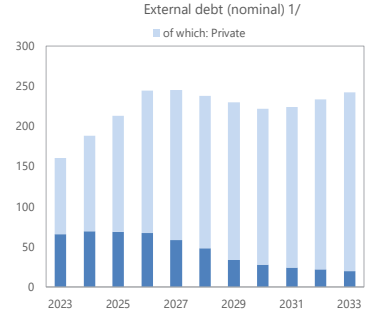
Table 1. Mozambique: External Debt Sustainability Framework, Baseline Scenario, 2020–2043

(In percent of GDP; unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	**184.9**	**154.0**	**161.1**	**160.3**	**187.9**	**213.1**	**244.0**	**244.9**	**237.7**	**241.8**	**296.3**	**139.7**	**221.6**
of which: public and publicly guaranteed (PPG)	**97.3**	**80.8**	**74.0**	**65.9**	**69.1**	**68.6**	**67.1**	**58.2**	**47.7**	**19.5**	**5.3**	**77.8**	**45.7**
Change in external debt	31.7	-30.9	7.0	-0.8	27.6	25.2	30.9	0.9	-7.2	8.8	4.0		
Identified net debt-creating flows	**19.8**	**-31.0**	**5.2**	**-3.8**	**17.1**	**19.1**	**20.4**	**-4.0**	**-14.4**	**-5.0**	**-15.2**	**5.4**	**-2.8**
Non-interest current account deficit	**25.6**	**21.7**	**32.9**	**7.9**	**31.7**	**35.1**	**36.4**	**21.6**	**7.7**	**-6.8**	**-4.4**	**28.5**	**9.2**
Deficit in balance of goods and services	30.1	24.8	35.4	9.9	33.7	37.4	38.0	21.0	6.5	-8.6	-9.5	**33.3**	**9.4**
Exports	30.7	40.4	51.1	42.4	39.8	38.2	37.2	41.9	44.4	46.1	44.6		
Imports	60.8	65.2	86.6	52.3	73.5	75.6	75.2	62.9	50.9	37.5	35.1		
Net current transfers (negative = inflow)	-4.8	-3.9	-5.8	-5.0	-3.5	-3.6	-3.6	-3.0	-2.8	-2.2	-1.6	**-5.5**	**-3.1**
of which: official	-1.6	-0.6	-2.1	-2.1	-0.7	-0.9	-1.0	-0.7	-0.7	-0.4	0.0		
Other current account flows (negative = net inflow)	0.2	0.8	3.3	3.0	1.4	1.4	2.0	3.6	4.1	3.9	6.6	**0.7**	**2.8**
Net FDI (negative = inflow)	**-21.3**	**-31.6**	**-10.7**	**-6.5**	**-13.1**	**-14.3**	**-14.9**	**-5.8**	**-7.5**	**-4.1**	**-13.6**	**-22.7**	**-7.6**
Endogenous debt dynamics 2/	**15.5**	**-21.2**	**-16.9**	**-5.2**	**-1.4**	**-1.7**	**-1.1**	**-19.7**	**-14.6**	**5.9**	**2.8**		
Contribution from nominal interest rate	1.8	0.9	1.8	3.1	5.9	6.8	6.9	8.0	11.2	12.3	10.4		
Contribution from real GDP growth	2.0	-3.9	-5.9	-8.4	-7.4	-8.5	-8.0	-27.7	-25.9	-6.3	-7.5		
Contribution from price and exchange rate changes	11.7	-18.2	-12.8	...	...	...	...	...	...	...	...		
Residual 3/	**11.9**	**0.1**	**1.8**	**3.0**	**10.5**	**6.1**	**10.5**	**4.9**	**7.1**	**13.7**	**19.2**	**4.2**	**10.1**
of which: exceptional financing	-0.6	-0.5	-0.4	-0.4	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**49.6**	**43.2**	**43.7**	**43.2**	**43.1**	**37.6**	**30.0**	**13.7**	**3.1**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**97.0**	**101.8**	**109.9**	**113.0**	**115.9**	**89.6**	**67.6**	**29.6**	**6.9**		
PPG debt service-to-exports ratio	**11.9**	**6.8**	**6.1**	**8.9**	**7.9**	**7.9**	**8.1**	**10.4**	**13.6**	**5.0**	**1.9**		
PPG debt service-to-revenue ratio	**15.3**	**10.9**	**12.8**	**15.7**	**12.5**	**12.0**	**11.8**	**16.3**	**22.9**	**9.2**	**2.7**		
Gross external financing need (Million of U.S. dollars)	1519.0	-836.5	5069.1	1972.7	6634.2	8220.7	9107.8	9436.5	7328.8	4648.3	901.9		
Key macroeconomic assumptions													
Real GDP growth (in percent)	-1.2	2.4	4.4	6.0	5.0	5.0	4.0	13.1	12.1	2.8	2.7	**4.0**	**7.1**
GDP deflator in US dollar terms (change in percent)	-7.1	10.9	9.1	9.4	2.9	4.2	1.9	2.1	1.9	2.0	2.0	**-2.1**	**2.9**
Effective interest rate (percent) 4/	1.1	0.6	1.3	2.3	4.0	4.0	3.4	3.8	5.2	5.5	3.7	**1.1**	**4.8**
Growth of exports of G&S (US dollar terms, in percent)	-22.0	49.4	44.2	-3.8	1.4	5.0	3.1	30.1	21.0	3.2	4.9	**9.9**	**9.5**
Growth of imports of G&S (US dollar terms, in percent)	-9.0	21.6	51.2	-29.9	51.8	12.5	5.3	-3.4	-7.5	7.6	4.6	**4.7**	**3.7**
Grant element of new public sector borrowing (in percent)	...	...	...	51.7	52.9	31.4	22.0	24.1	31.2	48.2	40.7	**...**	**39.8**
Government revenues (excluding grants, in percent of GDP)	23.8	25.1	24.3	24.1	25.2	25.3	25.5	26.6	26.4	25.1	30.5	**24.6**	**25.1**
Aid flows (in Million of US dollars) 5/	1212.6	608.8	1080.9	1667.0	1879.1	1055.6	890.0	803.2	856.4	744.8	71.2		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	7.0	6.9	3.6	2.8	2.2	2.1	1.3	0.1	**...**	**3.0**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	71.7	59.0	46.2	45.1	51.8	66.1	84.2	40.7	**...**	**68.2**
Nominal GDP (Million of US dollars)	14,235	16,168	18,407	21,349	23,061	25,219	26,708	30,840	35,208	53,172	86,630		
Nominal dollar GDP growth	-8.2	13.6	13.8	16.0	8.0	9.4	5.9	15.5	14.2	4.9	4.8	**1.8**	**10.2**
Memorandum items:													
PV of external debt 7/	...	...	136.7	137.6	162.5	187.6	220.0	224.3	220.0	236.0	294.1		
In percent of exports	...	...	267.4	324.5	408.3	491.1	591.6	535.2	495.2	511.7	659.7		
Total external debt service-to-exports ratio	20.7	11.5	10.5	18.5	25.7	30.7	34.0	35.5	46.2	42.6	42.7		
PV of PPG external debt (in Million of US dollars)			9129.8	9219.2	10086.0	10887.1	11516.2	11580.5	10570.1	7267.6	2650.3		
(PVt-PVt-1)/GDPt-1 (in percent)				0.5	4.1	3.5	2.5	0.2	-3.3	-1.0	-0.5		
Non-interest current account deficit that stabilizes debt ratio	-6.1	52.6	25.8	8.7	4.0	10.0	5.5	20.6	15.0	-15.5	-8.4		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

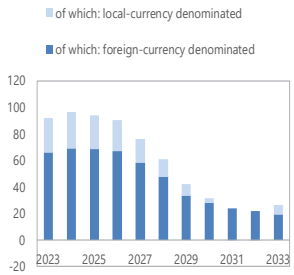
Table 2. Mozambique: Public Sector Sustainability Framework, Baseline Scenario, 2020–2043

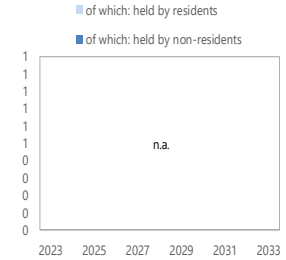
(In percent of GDP; unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**120.0**	**104.3**	**99.3**	**91.9**	**96.2**	**93.9**	**90.4**	**76.0**	**60.9**	**26.6**	**28.2**	**95.5**	**59.5**
of which: external debt	**97.3**	**80.8**	**74.0**	**65.9**	**69.1**	**68.6**	**67.1**	**58.2**	**47.7**	**19.5**	**5.3**	**77.8**	**45.7**
Change in public sector debt	21.7	-15.6	-5.1	-7.4	4.3	-2.3	-3.5	-14.4	-15.0	5.2	23.4		
Identified debt-creating flows	**19.5**	**-16.7**	**-3.6**	**-8.0**	**-5.9**	**-7.3**	**-6.4**	**-15.0**	**-14.4**	**5.1**	**20.0**	**-4.7**	**-7.5**
Primary deficit	**1.7**	**1.2**	**2.2**	**-0.8**	**-1.1**	**-2.1**	**-2.9**	**-5.8**	**-7.2**	**5.6**	**20.3**	**-5.0**	**-3.2**
Revenue and grants	27.7	26.9	28.4	28.1	26.7	27.0	27.3	28.1	28.0	26.2	30.5	**27.4**	**26.9**
of which: grants	3.9	1.8	4.1	4.0	1.5	1.7	1.8	1.5	1.6	1.0	0.0		
Primary (noninterest) expenditure	29.3	28.1	30.6	27.3	25.6	24.9	24.4	22.4	20.9	31.8	50.8	**22.3**	**23.7**
Automatic debt dynamics	**17.9**	**-17.9**	**-5.8**	**-7.3**	**-4.8**	**-5.2**	**-3.5**	**-9.2**	**-7.3**	**-0.5**	**-0.3**		
Contribution from interest rate/growth differential	1.4	-1.8	-2.1	-7.3	-4.8	-5.2	-3.5	-9.2	-7.3	-0.5	-0.3		
of which: contribution from average real interest rate	0.1	1.0	2.2	-1.7	-0.5	-0.6	0.1	1.2	0.9	0.1	-0.2		
of which: contribution from real GDP growth	1.2	-2.8	-4.4	-5.6	-4.4	-4.6	-3.6	-10.5	-8.2	-0.6	-0.1		
Contribution from real exchange rate depreciation	16.5	-16.1	-3.7	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.2**	**1.0**	**-1.5**	**0.7**	**10.2**	**5.0**	**2.9**	**0.6**	**-0.6**	**0.1**	**3.5**	**11.0**	**0.9**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**74.9**	**69.2**	**70.9**	**69.3**	**67.3**	**56.1**	**43.8**	**21.0**	**26.0**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**263.9**	**246.4**	**265.7**	**256.7**	**246.1**	**199.5**	**156.4**	**80.3**	**85.3**		
Debt service-to-revenue and grants ratio 3/	**39.0**	**42.7**	**43.6**	**28.7**	**39.8**	**45.4**	**43.8**	**39.0**	**38.5**	**3.5**	**-2.4**		
Gross financing need 4/	12.5	12.7	14.6	7.3	9.5	10.1	9.0	5.2	3.6	6.5	19.6		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	-1.2	2.4	4.4	6.0	5.0	5.0	4.0	13.1	12.1	2.8	2.7	**4.0**	**7.1**
Average nominal interest rate on external debt (in percent)	1.3	1.1	1.4	1.3	1.7	1.5	1.4	3.0	2.7	3.8	2.4	**1.6**	**2.7**
Average real interest rate on domestic debt (in percent)	5.0	7.2	9.7	1.9	10.7	3.3	2.3	3.0	2.9	160.4	18.9	**5.3**	**22.8**
Real exchange rate depreciation (in percent, + indicates depreciation)	20.9	-17.0	-4.7	...	...	...	...	...	...	...	...	**5.9**	**...**
Inflation rate (GDP deflator, in percent)	3.2	4.6	6.4	9.5	3.0	6.5	6.1	6.3	6.1	5.5	5.5	**5.3**	**6.0**
Growth of real primary spending (deflated by GDP deflator, in percent)	17.3	-1.8	13.7	-5.4	-1.7	2.0	2.0	3.8	4.4	32.7	32.7	**3.2**	**8.0**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-20.1	16.9	7.3	6.6	-5.4	0.2	0.6	8.7	7.9	0.4	-3.1	**1.4**	**3.4**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt, non-guaranteed SOE debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

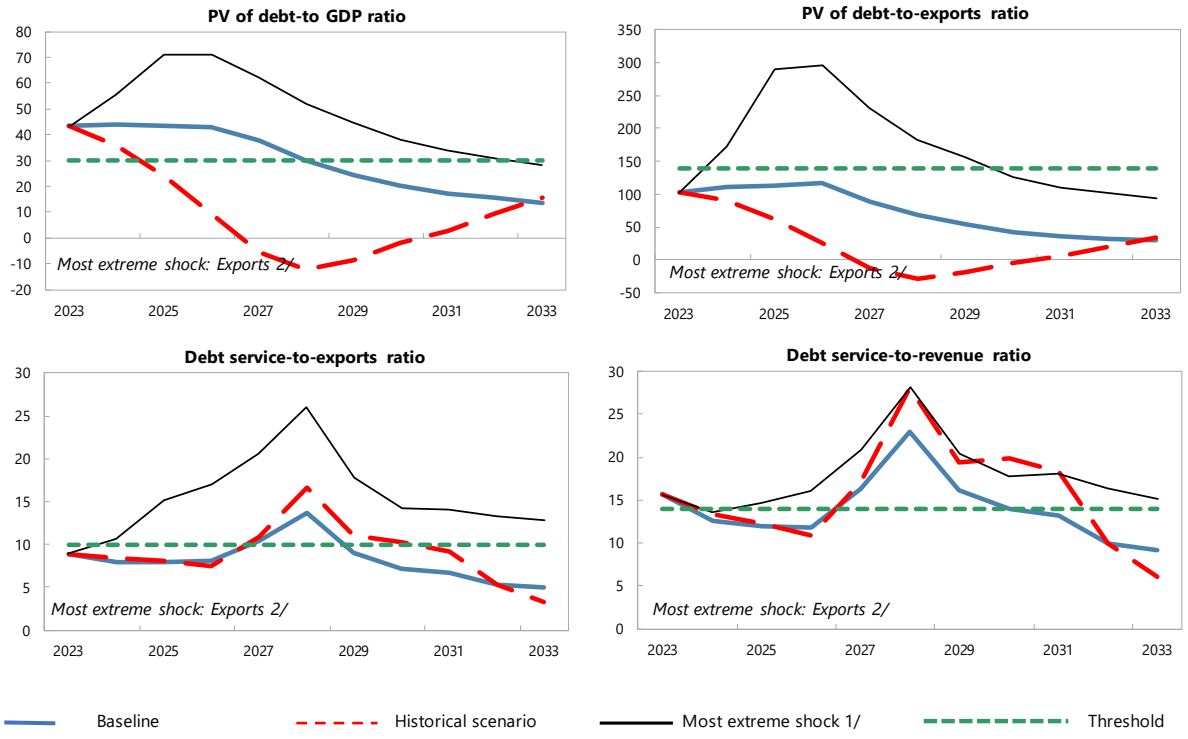
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 1. Mozambique: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2023–2033



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	No	No
Commodity price	No	No
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.3%	2.3%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	31	24
Avg. grace period	9	6

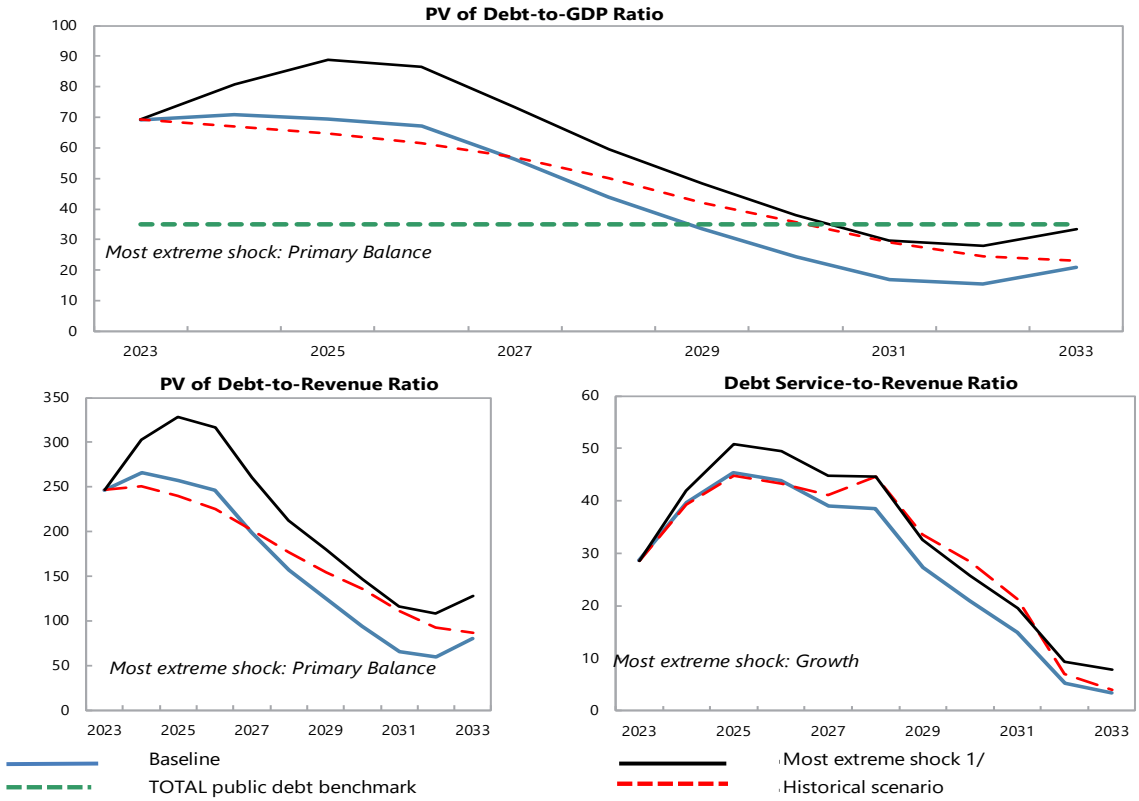
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Mozambique: Indicators of Public Debt Under Alternative Scenarios, 2023–2033



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	119%	90%
Domestic medium and long-term	-20%	8%
Domestic short-term	1%	2%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.3%	2.3%
Avg. maturity (incl. grace period)	31	24
Avg. grace period	9	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	6.7%	12.0%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	2	2
Domestic short-term debt		
Avg. real interest rate	6.0%	12.5%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Table 3. Mozambique: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023–2033

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	**43**	**44**	**43**	**43**	**38**	**30**	24	20	17	15	14
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**43**	**36**	24	9	-6	-12	-9	-2	3	9	15
B. Bound Tests											
B1. Real GDP growth	**43**	**46**	**48**	**48**	**42**	**34**	27	22	19	17	15
B2. Primary balance	**43**	**52**	**60**	**60**	**54**	**45**	**39**	**33**	30	28	26
B3. Exports	**43**	**55**	**71**	**71**	**62**	**52**	**45**	**38**	**34**	**31**	28
B4. Other flows 3/	**43**	**51**	**57**	**57**	**50**	**41**	**35**	30	26	24	22
B5. Depreciation	**43**	**55**	**45**	**45**	**39**	**30**	23	19	15	13	12
B6. Combination of B1-B5	**43**	**56**	**57**	**56**	**49**	**40**	**34**	28	24	22	20
C. Tailored Tests	0	10	9	9	9	8					
C1. Combined contingent liabilities	**43**	**53**	**53**	**52**	**47**	**38**	**32**	27	24	22	20
C2. Natural disaster	**43**	**51**	**51**	**51**	**45**	**37**	**31**	27	24	22	21
C3. Commodity price	**43**	**44**	**43**	**43**	**38**	**30**	24	20	17	15	14
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	102	110	113	116	90	68	55	43	36	33	30
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	102	90	63	25	-13	-28	-19	-4	6	20	34
B. Bound Tests											
B1. Real GDP growth	102	110	113	116	90	68	55	43	36	33	30
B2. Primary balance	102	131	**157**	**162**	128	102	87	71	62	59	56
B3. Exports	102	**172**	**290**	**296**	**231**	**182**	**156**	126	110	102	94
B4. Other flows 3/	102	128	**150**	**153**	119	93	79	64	55	51	47
B5. Depreciation	102	110	93	96	74	54	42	31	25	23	20
B6. Combination of B1-B5	102	**149**	134	**179**	139	107	89	71	60	56	51
C. Tailored Tests		24	24	25	21	19					
C1. Combined contingent liabilities	102	134	137	**141**	111	86	72	58	50	47	44
C2. Natural disaster	102	131	135	139	110	85	72	58	51	48	46
C3. Commodity price	102	110	113	116	90	68	55	43	36	33	30
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	140	140	140	140	140	140	140	140	140	140	140
Debt service-to-exports ratio											
Baseline	9	8	8	8	**10**	**14**	9	7	7	5	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	9	8	8	7	**11**	**17**	**11**	**10**	9	5	3
B. Bound Tests											
B1. Real GDP growth	9	8	8	8	**10**	**14**	9	7	7	5	5
B2. Primary balance	9	8	9	9	**11**	**15**	**10**	8	8	7	7
B3. Exports	9	**11**	**15**	**17**	**21**	**26**	**18**	**14**	**14**	**13**	**13**
B4. Other flows 3/	9	8	8	9	**11**	**14**	10	8	8	7	7
B5. Depreciation	9	8	8	7	10	**13**	9	7	6	4	4
B6. Combination of B1-B5	9	9	**11**	**11**	**14**	**18**	**12**	10	10	8	8
C. Tailored Tests											
C1. Combined contingent liabilities	9	8	9	9	**11**	**14**	10	8	7	6	5
C2. Natural disaster	9	8	9	9	**11**	**15**	10	8	7	6	6
C3. Commodity price	9	8	8	8	**10**	**14**	9	7	7	5	5
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	**16**	13	12	12	**16**	**23**	**16**	14	13	10	9
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**16**	13	12	11	**17**	**28**	**19**	**20**	**18**	10	6
B. Bound Tests											
B1. Real GDP growth	**16**	13	13	13	**18**	**26**	**18**	**16**	**15**	11	10
B2. Primary balance	**16**	13	13	14	**18**	**25**	**18**	**16**	**16**	**14**	13
B3. Exports	**16**	14	**15**	**16**	**21**	**28**	**20**	**18**	**18**	**16**	**15**
B4. Other flows 3/	**16**	13	13	13	**18**	**24**	**17**	**15**	**15**	13	12
B5. Depreciation	**16**	**16**	**15**	14	**20**	**28**	**19**	**17**	**16**	10	10
B6. Combination of B1-B5	**16**	14	**14**	**14**	**19**	**26**	**19**	**16**	**17**	13	12
C. Tailored Tests			3	2	3	5					
C1. Combined contingent liabilities	**16**	13	13	13	**17**	**24**	**17**	**15**	14	11	10
C2. Natural disaster	**16**	13	13	13	**17**	**24**	**17**	**15**	14	11	10
C3. Commodity price	**16**	13	12	12	**16**	**23**	**16**	14	13	10	9
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Mozambique: Sensitivity Analysis for Key Indicators of Public Debt, 2023–2033[1/]

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	**69**	**71**	**69**	**67**	**56**	**44**	34	24	17	15	21
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**69**	**67**	**65**	**62**	**57**	**50**	**42**	**36**	29	24	23
B. Bound Tests											
B1. Real GDP growth	**69**	**76**	**81**	**81**	**70**	**58**	**49**	**39**	33	33	**41**
B2. Primary balance	**69**	**81**	**89**	**86**	**73**	**60**	**48**	**38**	30	28	33
B3. Exports	**69**	**78**	**89**	**86**	**73**	**60**	**48**	**38**	29	27	32
B4. Other flows 3/	**69**	**78**	**84**	**81**	**69**	**55**	**45**	34	26	24	29
B5. Depreciation	**69**	**78**	**74**	**71**	**58**	**45**	**36**	26	17	15	18
B6. Combination of B1-B5	**69**	**76**	**76**	**68**	**57**	**44**	34	24	17	15	21
C. Tailored Tests											
C1. Combined contingent liabilities	**69**	**82**	**80**	**78**	**65**	**52**	**42**	32	24	22	28
C2. Natural disaster	**69**	**80**	**78**	**76**	**64**	**51**	**41**	31	24	22	28
C3. Commodity price	**69**	**72**	**75**	**76**	**67**	**56**	**47**	**38**	31	32	**40**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	246	266	257	246	200	156	125	94	66	60	80
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	246	251	240	225	201	177	154	136	111	93	86
B. Bound Tests											
B1. Real GDP growth	246	285	298	294	249	207	179	151	126	127	158
B2. Primary balance	246	303	329	317	261	212	180	147	116	108	128
B3. Exports	246	293	329	316	261	212	180	146	115	105	122
B4. Other flows 3/	246	293	310	298	245	198	166	133	102	93	111
B5. Depreciation	246	295	277	260	208	160	135	100	68	57	71
B6. Combination of B1-B5	246	285	282	249	201	158	125	94	66	60	80
C. Tailored Tests											
C1. Combined contingent liabilities	246	307	296	285	233	187	155	123	93	86	107
C2. Natural disaster	246	298	289	279	228	184	152	121	92	86	108
C3. Commodity price	246	270	276	278	238	200	175	147	122	123	154
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	29	40	45	44	39	39	27	21	15	5	3
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	29	39	45	43	41	45	34	28	21	7	4
B. Bound Tests		2	5	6	6	6					
B1. Real GDP growth	29	42	51	50	45	45	33	26	20	9	8
B2. Primary balance	29	40	48	48	45	43	29	23	18	9	8
B3. Exports	29	40	46	46	41	40	29	22	17	9	7
B4. Other flows 3/	29	40	46	45	40	40	29	22	17	8	6
B5. Depreciation	29	39	46	44	42	44	31	24	18	8	6
B6. Combination of B1-B5	29	39	45	45	39	40	28	21	15	5	3
C. Tailored Tests											
C1. Combined contingent liabilities	29	40	48	46	43	40	28	22	16	6	4
C2. Natural disaster	29	40	48	46	43	40	29	22	16	6	4
C3. Commodity price	29	40	47	47	43	43	32	25	19	9	8
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

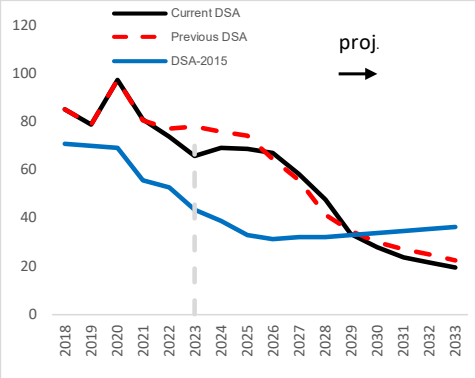
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.

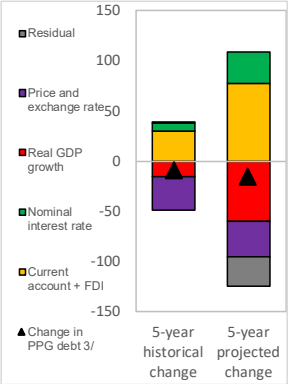
Figure 3. Mozambique: Drivers of Debt Dynamics - Baseline Scenario

External Debt

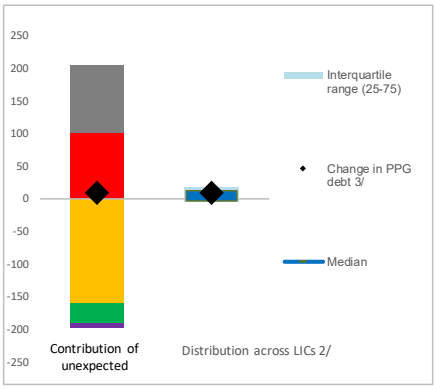
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

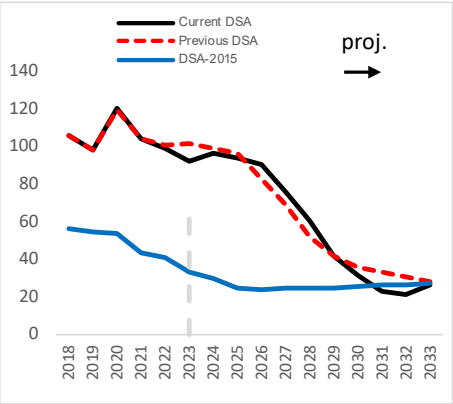


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

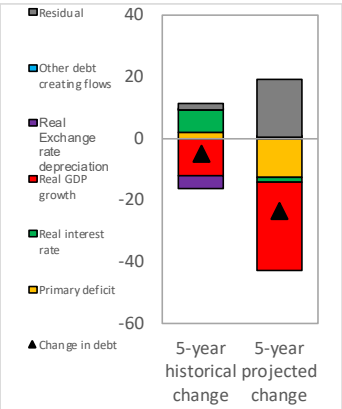


Public Debt

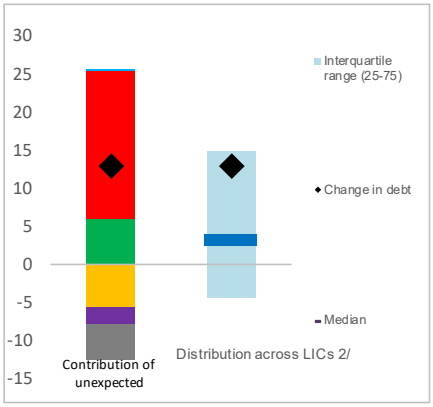
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



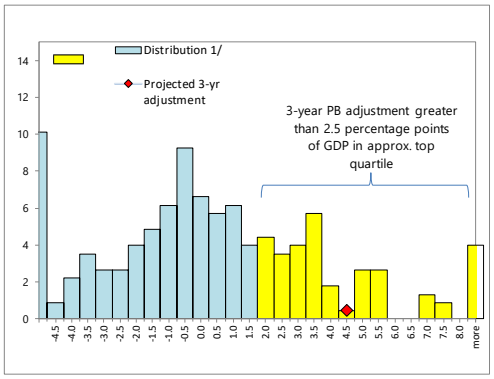
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

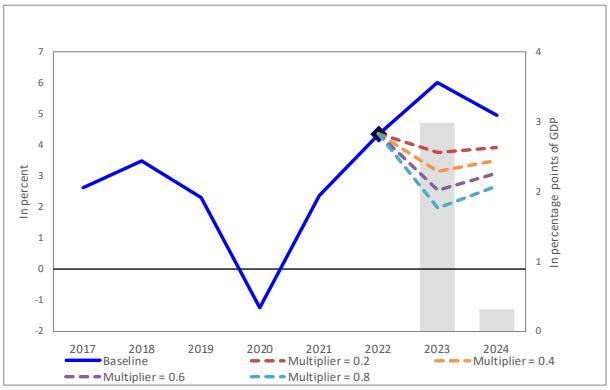
Figure 4. Mozambique: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



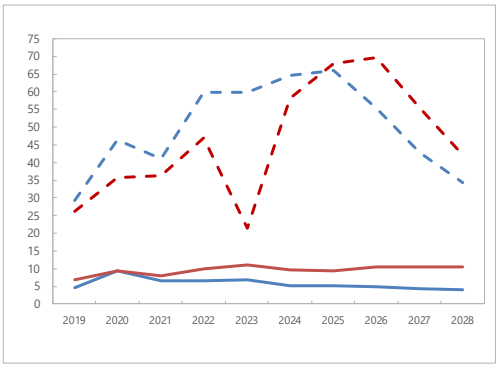
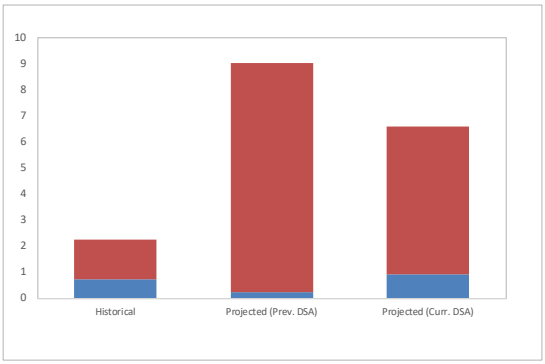
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)